

**12%** Bank credit growth in FY25, compared to 16.3% in FY24

**₹3.4** LAKH CRORE: The dip in non-food bank credit in FY25

## LEADING FROM THE FRONT

• SBI leads but HDFC Bank is close second • PNB sees the steepest rise in PAT

| PAT Rank | Lender               | Net Interest Income<br>(in ₹crore) |          |                  | Profit After Tax<br>(in ₹crore) |        |                  |                             |
|----------|----------------------|------------------------------------|----------|------------------|---------------------------------|--------|------------------|-----------------------------|
|          |                      | FY24                               | FY25     | Growth<br>(In %) | FY24                            | FY25   | Growth<br>(In %) | Promoter<br>Stake<br>(in %) |
| 2        | State Bank of India  | 1,79,452                           | 1,89,994 | 5.9              | 68,138                          | 79,017 | 16.0             | 57.4                        |
| 3        | HDFC Bank            | 1,29,510                           | 1,52,473 | 17.7             | 65,447                          | 73,440 | 12.2             | 0.0                         |
| 4        | ICICI Bank           | 85,408                             | 97,304   | 13.9             | 45,007                          | 54,419 | 20.9             | 0.0                         |
| 11       | Axis Bank            | 51,368                             | 56,338   | 9.7              | 26,424                          | 28,112 | 6.4              | 8.2                         |
| 15       | Kotak Mahindra Bank  | 33,669                             | 37,394   | 11.1             | 17,977                          | 21,946 | 22.1             | 25.9                        |
| 17       | Bank of Baroda       | 48,480                             | 49,680   | 2.5              | 18,410                          | 20,459 | 11.1             | 64.0                        |
| 19       | Union Bank of India  | 37,012                             | 37,684   | 1.8              | 13,709                          | 17,921 | 30.7             | 74.8                        |
| 22       | Punjab National Bank | 40,530                             | 43,306   | 6.8              | 8,329                           | 17,440 | 109.4            | 70.1                        |
| 24       | Canara Bank          | 38,401                             | 38,920   | 1.4              | 14,782                          | 17,336 | 17.3             | 62.9                        |
| 37       | Indian Bank          | 23,309                             | 25,213   | 8.2              | 8,129                           | 10,995 | 35.3             | 73.8                        |

PROMOTERS' STAKE AS OF JUNE 2025 **SOURCE** ACE EQUITY

agement firm's proprietary AI engine for investment portfolios, says firms integrating human expertise with AI-powered advisory are able to tap higher-margin wealth management products instead of relying solely on transactional income.

Another important trend is private credit providers stepping in to serve mid-level corporates in various sectors. Globally, private credit expanded in a big way after the 2008 financial crisis when banks came under heavy regulations. "While in India, non-bank debt financing started to happen through the NBFC structure, post the IL&FS crisis and the Covid-19 pandemic, they withdrew from this segment. Private credit funds emerged as the dominant capital source," says Nilesh Dhedhi, MD, Avendus Finance.

Vineet Sukumar, founder and MD of asset management company Vivriti Asset Management, says India's case is more nuanced. "In India, tighter bank regulations and risk avoidance by

banks in the last 15 years, along with NBFCs' cautious stance on wholesale lending post the IL&FS crisis, have led to the blossoming of private credit," he adds.

Another big threat to banks is migration of deposits to equity, mutual funds, and other investment avenues. "This is the first time investors are getting direct participation in a deal through private credit fund structure," says Dhedhi.

While the banking and financial services sector stands out for its strong balance sheets, the current challenges on both the assets and liabilities side could be impacting market valuations. A clearer picture should emerge soon. **BT**